



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Salwan and Sundus Ameen

Of

39 Bayview Street
WARNERS BAY NSW 2282

Prepared on:

7th October 2021

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

7/10/2021

Salwan and Sundus Ameen
39 Bayview Street
Warners Bay NSW 2282

Dear Salwan and Sundus,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Property Structure
- Retirement Planning
- Superannuation structure

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Salwan and Sundus, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Generate an income of \$65,000 p.a. in retirement to satisfy your living costs.
- Assess the most appropriate structure for the impending residential property sale proceeds.
- Review your superannuation portfolio and determine appropriate strategies moving forward.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mrs
First Name	Salwan	Sundus
Surname	Ameen	Ameen
Gender	M	F
Date of Birth	25/07/1956	18/03/1956
Age Last Birthday	65	65
Marital Status	Married	Married

Employment Details

Employment Status	Self-Employed	Retired
Occupation	Consultant	

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Warners Bay residential property	\$1,200,000
Total Lifestyle Assets	\$1,200,000

Investment Assets	Value
Apartment (Turkey) - US\$145,000	\$200,000
Cash at Bank (overseas)	\$86,000
Total Investment Assets	\$286,000

Superannuation Assets	
Salwan	
Colonial First State	\$316,000
Sundus	
AMP	\$20,000
Total Superannuation Assets	\$336,000

Total ASSETS	\$1,822,000
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LIABILITIES

Nil	\$0
Total Liabilities	\$0

NET WORTH	\$1,822,000
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Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

In light of your age and preference to preserve your capital whilst generating sufficient cash flow, we suggest that a **Moderately Conservative** asset allocation should be considered for future investments.

Typically, a **Moderately Conservative** investor has the following characteristics:

- The Moderately Conservative investor seeks a diversified portfolio with a balance of defensive and growth assets.
- This requires an investment time horizon of between 3 – 5 years.
- The portfolio would include a high portion of income bearing securities such as cash and fixed interest, with a small exposure to equities and property providing appreciation potential.

A Moderately Conservative investor will typically diversify their investment in the following manner:

Australian Shares	24%
International Shares	14%
Fixed Interest	38%
Property	10%
Cash	14%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2021-22

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute

Government Age Pension

The Age Pension is designed to provide income support to older Australians who need it, while encouraging pensioners to maximise their overall incomes. The Age Pension is paid to people who meet age and residency requirements, subject to a means test. Pension rates are indexed to ensure they keep pace with Australian price and wage increases.

Age Requirements

The pension age will be gradually increased from 65 to 67 years as set out in the table below:

Period within which a person was born	Pension age	Date pension age changes
From 1 July 1952 to 31 December 1953	65 years and 6 months	1 July 2017
From 1 January 1954 to 30 June 1955	66 years	1 July 2019
From 1 July 1955 to 31 December 1956	66 years and 6 months	1 July 2021
From 1 January 1957 onwards	67 years	1 July 2023

Means Test Qualifications

The Age Pension is subject to an income test and an assets test. Pensioners are paid under the test that produces the lower rate of payment.

The social security system uses deeming to assess income from financial investments. Deeming rules provide a simple and fair way to assess income from financial investments for social security and Department of Veterans' Affairs (DVA) pension and allowance purposes. From 1 January 2015, the deeming rules were extended to include account-based income streams.

The asset and income means tests are applied to each individual or couple, with the Age Pension payment rate reducing if the individual or couple hold assets, or earn income, over the outlined minimum thresholds. These thresholds are outlined below:

Income test

Single		
Fortnightly Income	Up to \$180	Over \$180
Reduction in payment	None – full payment rate	50 cents for each dollar over \$180
Couples		
Fortnightly Income	Up to \$320	Over \$320
Reduction in payment	None – full payment	50 cents for each dollar over \$320 (combined)

Asset test

Family Situation	For Homeowners	For Non-Homeowners
Single	\$270,500	\$487,000
Couple (combined)	\$405,000	\$621,500
Reduction in payment	\$3 for every \$1,000 over the above amounts	\$3 for every \$1,000 over the above amounts

Age Pension Payment Rates

The current maximum fortnightly payment rate for the Age Pension, including the pension supplement, is outlined in the table below:

Per fortnight ▼	Single ▲	Couple each ▲	Couple combined ▲	Couple apart due to ill health
Total	\$967.50	\$729.30	\$1,458.60	\$967.50
Maximum Pension Supplement	\$71.20	\$53.70	\$107.40	\$71.20
Maximum basic rate	\$882.20	\$665	\$1,330	\$882.20
Energy Supplement	\$14.10	\$10.60	\$21.20	\$14.10

As stated, the maximum rate may be reduced due to the thresholds outlined via the relevant means test.

Deeming

The deeming rules assume your financial assets are earning a certain amount of income, regardless of the income they actually earn. Deeming encourages you to earn more income from your investments and reduces the extent that your payments may vary.

Deeming is used to calculate income for pension, benefit and allowance payments.

If you are a member of a couple:

- if at least 1 of you is getting a pension, the first \$89,000 of your and your partner's financial investments is deemed to earn income at 0.25% per annum and any amount over that is deemed to earn income at 2.25% per annum, or
- if neither of you is getting a pension, the first \$44,500 for each of your and your share of jointly owned financial investments is deemed to earn income at 0.25% per annum and any amount over that is deemed to earn income at 2.25% per annum

If the actual income you receive from your investments is more than the deemed income calculated, the extra income is not counted when assessing your rate of pension, benefit or allowance.

Gifting

Either of you can give away money or other assets to any value you choose at any time, but the rate of income support payment you receive may be affected if you gift assets worth more than the allowable gifting amount or 'free area'.

The gifting rules are:

- there is an allowable gifting amount or free area for a single person or a couple of \$10 000 in a single financial year, and,
- there is an allowable gifting amount or free area for a single person or a couple of \$30 000 over a five-year rolling period. The rolling five-year period is the current financial year plus the previous four financial years
- Any asset or amount that you gift over and above either the \$10 000 in a single year free area or the \$30 000 five-year free area is treated as a gift or deprived asset for five years from the date of disposal.

Gifts are:

- included in your assets until the fifth anniversary of the date of the gift
- deemed to earn income in the same way as financial assets
- any amounts you disposed of or gifted in the five years immediately before you were granted a payment can also be considered.

Gifting includes:

- money or any asset you have transferred to members of the family or other relatives
- gifts to other people or charities
- assets sold for less than their market value

Gifting does not include you selling or reducing your assets to meet normal expenses, for example, to buy consumer goods like a fridge or washing machine, for home maintenance/improvements, or to pay for holidays. Nor does it include payments for services received, e.g. lawn mowing.

Your Age Pension Entitlement

Salwan and Sundus, at age 66 ½ you may be entitled to receive an Age Pension.

We have taken the liberty of calculating your estimated entitlement to the Age Pension at age 66½ based on your current asset position and assuming you are no longer working. The calculations are outlined below:

Please note, Centrelink WILL take into consideration your assets held overseas. Hence, these have been included in the calculations below.

Age Pension Assets Test (Homeowner)

\$622,000 - \$405,000 = \$217,000

217 x \$3 = \$651 reduction p.f.

Therefore, **Age pension payable** = \$1,458.60 - \$651

= \$807.60 p.f.

= **\$20,997.60 p.a.**

Age Pension Income Test

Deemed income on financial assets held

\$89,000 @ 0.25% = \$ 222.50

\$333,000 @ 2.25% = \$7,492.50

\$7,715.00

\$7,715 = \$296.73 p.f.

This is under \$320 p.f., therefore, **full pension of \$37,923.60 payable**

Conclusion:

- Salwan and Sundus, due to the Government Age Pension rules, you will be assessed on the means test that will pay you the lowest rate per fortnight, which in your situation is the Assets test.
- The amount you would receive would be approximately \$20,998 combined per annum (\$404 each per fortnight).
- Should you reduce your assets down to \$405,000 or below (e.g. by using some of your existing investment assets to assist with the purchase of a new residential property), **the maximum Age Pension payable will be \$37,923.60**

Retirement Planning

You will soon be putting your residential property on the market and, once sold, you will be moving to Melbourne.

When you move to Melbourne, you may potentially purchase a house in the Templestowe/Bulleen area for \$1.2m to \$1.4m.

In retirement, you require an annual income of \$65,000.

We have considered the following options available to you in terms of how you structure your assets leading into retirement:

- Option 1 – Use the sale proceeds to purchase a new residential property in Melbourne
- Option 2 – Your son Omar purchases a property in Melbourne. You rent this property from him and live off the proceeds of your property sale.
 - Consider moving monies into superannuation within the superannuation contribution limits as superannuation is a tax-free environment at your ages when in 'pension phase'.

Option 1:

Should you use the sale proceeds to purchase a new residential property in Melbourne, based on your overall asset position (including overseas assets in your name), you will be eligible for a combined Age Pension of approximately \$21,000 per annum.

Assuming a rate of return of 6% p.a. on your superannuation funds, your overall position may be summarised as follows:

Total Superannuation Balance	Cash Reserves	Age Pension Income	Income from Superannuation	Cash Flow Shortfall
\$336,000	NIL	\$21,000	\$20,160	\$23,840

Option 2:

Should Omar purchase a property in Melbourne for you to live in, it is recommended that your property sale proceeds be structured as follows:

- In light of the fact that superannuation is a tax effective environment to hold investment assets, we recommend to make superannuation contributions based on the following timeline (these contributions remain within the contribution caps detailed in the 'Superannuation Contribution Limits' section):

Who	Timing	Type of contribution	Amount
Salwan	Pre 30/06/22	Non-concessional	\$110,000
Sundus	Pre 30/06/22	Non-concessional	\$110,000
Salwan	Post 1/07/22	Non-concessional	\$330,000
Sundus	Post 1/07/22	Non-concessional	\$330,000
Total			\$880,000

- Assuming a sale price of \$1.2m, this will leave you with funds outside of superannuation of \$320,000.
- Your overall position may therefore be summarised as follows:

Total Superannuation Balance	Cash Reserves	Age Pension Income	Income from Superannuation	Cash Flow Shortfall
\$1,216,000	\$320,000	NIL	\$72,960	NIL

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.
- There may still be a cash flow shortfall, depending on level of rent required to be paid to Omar.

Consideration:

The prospect of Omar diverting income from (say) the Coburg clinic to Salwan and Sundus in a tax effective manner has been considered.

After discussions with Accountant Matt Geary, it was determined that this is not a viable strategy in the short to medium term given:

- The radiology clinics being invested in will have accumulated losses for the next couple of years at least. Hence, there will be no taxable income in the short term.
- All other income must still be paid to Omar under the Personal Service Income (PSI) provisions.

Superannuation Funds

Salwan and Sundus, you currently have the following approximate superannuation balances:

Salwan

- Colonial First State – First Choice Personal Super \$316,000

Sundus

- AMP Flexible Lifetime Super \$ 20,000

TOTAL \$336,000

Recommendation:

- Roll across these superannuation monies to a more actively managed **wholesale** 'master trust' superannuation platform.

Investments Within Superannuation

Colonial First State – First Choice Personal Super – Account Number 010019301041 (Salwan)

Salwan, you have a superannuation fund with Colonial First State invested in the 'First Choice - Moderate' option.

The asset allocation of the 'First Choice Moderate' option is:

Asset Class	% of Portfolio
Australian Shares	20%
International Shares	27%
Property	10%
Fixed Interest	22%
Cash	12%
Growth Alternatives	6%
Defensive Alternatives	3%
	100%

Colonial First State 'First Choice Moderate' Historical Performance at 30/06/21

	1 year	3 years (p.a.)	5 years (p.a.)
First Choice Moderate	15.88%	6.25%	6.47%

AMP Flexible Lifetime Super – Account Number 932782295 (Sundus)

Sundus, you have a superannuation fund with AMP invested in the 'MySuper 1950's' option.

The asset allocation of the 'MySuper 1950's' option is:

Asset Class	% of Portfolio
Australian Shares	18%
International Shares	19%
Property	9%
Fixed Interest	36%
Cash	9%
Growth Alternatives	4%
Defensive Alternatives	5%
	100%

AMP Flexible Lifetime Super 'MySuper 1950's' Historical Performance at 30/06/21

	1 year	3 years (p.a.)	5 years (p.a.)
REST Super Core Strategy option	11.86%	5.51%	5.60%

Superannuation Structure (Accumulation Phase v Pension Phase)

Salwan and Sundus, your superannuation funds are currently in Accumulation Phase where all income is taxed at 15%.

Current legislation allows you (as you have reached preservation age) to convert your superannuation to Pension Phase and commence an income stream with your superannuation monies. The following must be considered when determining whether or not a move to Pension Phase is appropriate:

- In Pension Phase, you are obliged to draw out a minimum income stream of 5% of the fund balance each year. This minimum 5% has actually been reduced to 2.5% for the 2021/22 Financial Year as part of the Government introduced Covid relief measures. All income received from this income stream is tax free.
- **As you have reached 65 years of age, the taxation on earnings within the fund is 0%.**

Recommendation:

- Consider moving your superannuation from 'accumulation' to 'pension' phase once you cease working and the recommended non-concessional contributions have been made.

Master Trust Platform (Colonial First State)

Your respective investments in the Colonial First State platform would have a specifically modelled portfolio. The specific underlying funds that make up your individual portfolios would be:

Colonial First State Wholesale Super – ‘Moderately Conservative’ portfolio

	% of portfolio
CFS Wholesale Aust. Small Companies (First Sentier)	16%
Colonial First State Wholesale Index Australian Share	8%
Colonial First State Wholesale Index Global Share	14%
Pendal Wholesale Property Investment (BT)	5%
Colonial First State Wholesale Index Property Securities	5%
Firstchoice Wholesale Fixed Interest	38%
CFS Wholesale Cash Fund (Strategic Cash) (First Sentier)	14%
	100.00%

Performance of Colonial First State Wholesale Super – ‘Moderately Conservative’ portfolio at 30/06/21

	% of portfolio	1 year	3 years (p.a.)	5 years (p.a.)
CFS Wholesale Aust. Small Companies (First Sentier)	16%	30.73%	10.63%	12.91%
Colonial First State Wholesale Index Australian Share	8%	41.84%	17.28%	17.04%
Colonial First State Wholesale Index Global Share	14%	28.45%	10.68%	12.20%
Pendal Wholesale Property Investment (BT)	5%	27.06%	14.06%	14.29%
Colonial First State Wholesale Index Property Securities	5%	33.95%	10.51%	7.30%
Firstchoice Wholesale Fixed Interest	38%	32.77%	7.45%	5.53%
CFS Wholesale Cash Fund (Strategic Cash) (First Sentier)	14%	0.88%	4.15%	3.09%
	100.00%	16.46%	8.21%	7.72%

Benefits:

- The alternative portfolios have outperformed your current funds.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Salwan

Type of Fee or Cost	Colonial First State Personal Super	Colonial First State Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Nil	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	0.40% p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	1.29% p.a.	0.79% p.a.
Annual average cost - Total \$316,000 investment	\$4,076p.a.	\$3,760 p.a.

Outcomes Post Implementation - Salwan:

- Salwan, based on your current balance, the sum of your total ongoing management and administration fees will **decrease** by approximately **\$316 PER ANNUM**.
- The Colonial First State Wholesale ‘**Moderately Conservative**’ portfolio has **outperformed** your current fund over the past 5 years by an average of **1.25% p.a.** Based on your current balance, **this equates to \$3,950 p.a. (\$19,750 over a 5-year period).**

Sundus

Type of Fee or Cost	AMP Flexible Lifetime Super	Colonial First State Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	0.57% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	0.40% p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.61% p.a.	0.79% p.a.
Annual average cost - Total \$20,000 investment	\$236 p.a.	\$238 p.a.

Outcomes Post Implementation - Sundus:

- Sundus, the sum of your total ongoing management and administration fees will **increase** by approximately **\$2 PER ANNUM**.
- The Colonial First State Wholesale ‘**Moderately Conservative**’ portfolio has **outperformed** your current fund over the past 5 years by an average of **2.12% p.a.** Based on your current balance, **this equates to \$424 p.a. (\$2,120 over a 5-year period).**

Investment Recommendation

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
 - **A 0.40% p.a. Adviser Service fee will apply.**
- No switching fees or exit fees apply to this investment.

Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs, there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self-insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

Existing Cover Amounts

Salwan, you currently have the following insurance cover in place under your Colonial First State super fund

Colonial First State (superannuation owned)

Life Insurance: \$332,155

Premium: \$375.17 p.m. (\$4,502.04 p.a.)

A full analysis of your personal insurance requirements should be undertaken before any decision is made and action taken.

What is paid to your adviser

Plan Fee

As part of a compensation payment from Colonial First State, you are entitled to a Financial Planning benefit of \$3,000 which covers the fee for this Statement of Advice.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of 0.40% will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.